FORMER ASCO HQ AL/MC PAD

Florham Park, Morris County, NJ · 114 units (78 AL · 36 MC) · 4 acres · 45 min to Midtown

Recommendation: Absorption thin. The project needs about 30% of unmet demand in its 7-mile market (38% if Woodmont's approved Parsippany building goes ahead). The combined downside holds with a GMP, about $1.4M of cushion; the redevelopment designation makes a PILOT available to widen it. NIC MAP pull and pre-leasing plan before LOI.

CAPITAL REQUIRED	EQUITY · LOAN	YIELD ON COST · FULLY TAXED
$62.2M	**$24.9M · $37.3M**	**7.27%**

LEVERED IRR · LP NET	PROFIT AT STABILIZATION	AT RISK BEFORE APPROVAL
13.8% · 13.2%	**$16.6M**	**$2.82M**

THESIS

- **Approvability.** Town relies on this site for affordable compliance; Arbor Terrace 100-bed AL approved 2024. Opposition risk is low-medium.
- **Deal route.** JV with Garden Homes to add AL/MC. Garden Homes owns 55 ac for 305 age-restricted; pad carve-out.
- **Need and rents.** Need 58, rent support 84 and approval 62 on a 100-point scale. About 11,894 age- and income-qualified households 75+ in the 7-mile market.
- **Returns.** 7.27% yield on cost against a 6.5% floor. Value at a 6.50% exit cap is $80.4M on trended NOI of $5.23M. Max land at the floor is $13.0M against a $5.7M basis. LP net IRR after an 8% pref and 80/20 split: 13.2%.

SOURCES AND USES

Land	$5.70M
Hard cost	$35.19M
Site work	$1.08M
Contingency	$1.81M
FF&E	$2.51M
Soft cost	$7.25M
Construction interest	$2.99M
Lease-up reserve	$5.65M
Total uses	**$62.19M**
Equity, 40% (LP 90% / GP 10%)	$24.88M
Construction loan, 60% LTC	$37.31M

SCHEDULE

Predevelopment and approvals	9 mo
Construction	20 mo
Lease-up to stabilization	30 mo
Site control to sale	**59 mo**

TEAM

Operator, first call	Engel Burman
Operator, second	Benchmark / National Development
General contractor	IMC Construction (alternate O.A. Peterson Construction)

DOWNSIDE CASES

CASE	YOC	UNLEV. IRR	LEV. IRR	MULTIPLE	PROFIT
Base case	7.27%	7.6%	13.8%	1.67x	$16.6M
Rents −10%	6.46%	3.8%	7.2%	1.32x	$7.8M
Hard costs +10%	6.76%	5.2%	9.8%	1.45x	$11.9M
Exit cap +50 bps	7.27%	5.2%	9.7%	1.44x	$11.0M
Lease-up +6 months	7.14%	6.6%	12.0%	1.66x	$16.6M
Combined downside	**5.92%**	**-0.8%**	**-1.6%**	**0.93x**	**−$1.8M**

All four shocks at once (rents −10%, hard costs +10%, exit cap +50 bps, lease-up +6 months) take yield on cost to 5.92% and the levered IRR to -1.6%, a $1.8M loss on a sale at stabilization.

STRUCTURING THE DOWNSIDE

> **Recommended: GMP contract.** GMP contract holds breakeven: the combined downside still returns $1.4M of profit (6.22% YOC, 1.2% levered IRR).

STRUCTURE	BASE YOC	BASE PROFIT	DOWNSIDE YOC	DOWNSIDE PROFIT	BREAKEVEN?
As underwritten	7.27%	$16.6M	5.92%	−$1.8M	No
GMP contract	**7.27%**	**$16.6M**	**6.22%**	**$1.4M**	**Yes**
GMP + PILOT	8.05%	$25.0M	6.98%	$9.4M	Yes
GMP + ground lease	7.39%	$16.3M	6.24%	$1.5M	Yes
GMP + PILOT + ground lease	8.25%	$24.8M	7.08%	$9.5M	Yes
GMP + operator master lease	6.79%	$3.0M	6.63%	−$2.4M	No
Fee development for a nonprofit	8.67%	$31.8M	7.59%	$15.8M	Yes

KEY RISKS AND HOW WE CLOSE THEM

Entitlement	Amend existing approval; approval odds 57% (Even). 305 age-restricted tied to 4th-round plan; AL needs amendment + CN.
Lease-up	30 months to stabilization at industry-norm net move-ins (2–4 a month for AL/MC, 3–6 for IL; NIC MAP). The downside case adds 6 months.
Rents	Supported. The model's $10,780 private-pay rate sits 8% above the Class A median and below The Delaney, inside the 15-20% premium CBRE says new development needs. No change. A NIC MAP pull and a rate shop confirm before LOI.
Absorption	Survives, thin. With Arbor Terrace counted the project needs about 30% of unmet demand at a 10% need rate (16% at 12%), above the 10–15% lender band; about 38% if Woodmont's approved Parsippany building goes ahead. NIC MAP pull and pre-leasing plan before LOI.
Taxes	Underwritten fully taxed at $8,500 a unit; an assessor letter confirms it before LOI.

NEXT STEPS

1. Pitch Garden Homes.
2. Gate 1 · Feasibility by month 3, $0.16M at risk. Counsel confirms the amend existing approval path; the massing fits bulk and parking; Phase I and wetlands flagging are clean.
3. Gate 2 · Political read by month 6, $0.26M at risk. Staff sees a path; mayor and a board majority are neutral or supportive; no organized opposition after abutter meetings.

Model outputs for screening, not an appraisal, offer or investment advice. Estimates are replaced with NIC MAP and assessor data before LOI. Full dossier: senior-living-pipeline-1cia.vercel.app/sites/NJ-04. Excel model: senior-living-pipeline-1cia.vercel.app/models/ATCO-NJ-04-proforma.xlsx